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NEWSPAPER

9th NOV, 2018

ITEM WISE EDITORIALS

45th WEEK



BACKLASH AGAINST CHINA

UPSC CSE – GS II

GS II ... International Relations



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NEWSPAPER EDITORIALS

... DISCUSSION

9th NOVEMBER, 2018

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The push back against Beijing

As Chinese expansionism and aggressiveness, noticeably ramped up in recent years, beginning to cost the country? So it would seem. For many years Beijing had got away with combining technology theft with a mercantilist trade and currency policy, following it up with an assertiveness in foreign policy. That period as a free-rider has ended with Donald Trump's frontal tariff assault on Chinese exports to the US. The US too will hurt as American consumers pay higher prices, but some producing units may move out of China. The yuan, this year has fallen more than many Asian currencies.

Meanwhile, the Belt and Road business is either taking a toll on, or causing unrest in, country after country. Sri Lanka being forced to cede a port for 99 years, and give China a chunk of its Colombo sea front, is well known. Malaysia after a change of government has cancelled a railway line and a gas pipeline, and called a halt to a township to be built on three artificial islands the project was being marketed to wealthy Chinese. Even Pakistan, the all-weather friend, has seen domestic criticism of the terms of some of the contracts (most of the terms remain secret). Under its new government, the country is peering the number of projects and possibly seeking to re-negotiate some of them. A South country that has seen a change of government, the Maldives, could well see something similar happen there. Far from being a mark of triumphant expansionism, across Asia the Belt and Road Initiative has become a source of discord.

It is telling that re-assessments of Belt and Road projects follow changes of government — which Beijing can't control. But it can engineer political changes that nullify election results, as the latest developments in Sri Lanka suggest. The long or issue in countries like Malaysia, Sri Lanka, the Maldives and some in Africa is how much local political elites were compromised when signing on to dodgy or unviable projects. Re-negotiating contracts now may make further disputes and prove to be costly, because Beijing has so far insisted on the letter of the contract when it comes to cancellation.

Meanwhile, China faces a hiccup on the technology front. Its long record of stealing technology from western companies and hacking into secure networks, combined with the suspicion that there are bugs hidden in Chinese telecom software, is now resulting in defensive action by some countries. Germany has begun blocking Chinese buying high-end engineering companies, joining the US and Canada in similar drives. Western governments are wary of Chinese ambitions for leadership in the fourth industrial revolution. Germany's chancellor, Angela Merkel, has suggested a Europe-wide move on the issue. Australia recently barred two Chinese companies, Huawei and ZTE, from providing the technology for 5G communications networks, citing security. Earlier, the US blocked the sale of Huawei phones and stopped ZTE from using US-made components in its phones.

Some countries in the region are re-visiting their basic stance towards Beijing. After China fishing vessels showed up in Indonesian waters, causing several deaths, Jakarta warned in New Delhi and signed up to give Indian naval ships access to Subang port near the Malacca Straits. In Australia there is a noticeable cooling off in the government and media when it comes to attitudes to China. Canberra changed its tone last year after it discovered that generous local Chinese donors to political parties were linked to the Chinese government. There is worry that at least some Australian universities have become so dependent on Chinese students that they would not be viable without them. Hence Canberra's active policy of wooing students from India, as a balancing act.

Meanwhile, Mr Trump's tariffs will hurt the US as much as China. Businessmen in most countries fear losses in the Chinese market if their governments become hostile to Beijing. Indeed, the prospect of a US slowdown, perhaps even a recession down the road as interest rate-dials may well end up blocking Mr Trump's offensive, Beijing may yet have the last laugh.

Business Standard
3rd November, 2018

5 The push back against Beijing

Are Chinese expansionism and aggressiveness, noticeably ramped up in recent years, beginning to cost the country? So it would seem. For many years Beijing had got away with combining technology theft with a mercantilist trade and currency policy, following it up with a new assertiveness in foreign policy. That period as a free rider has ended with Donald Trump's frontal tariff assault on Chinese exports to the US. The US too will hurt as American consumers pay higher prices, but some producing units may move out of China.

The yuan this year has fallen more than many Asian currencies. Meanwhile, the Belt and Road business is either taking a toll on, or coming unstuck in, country after country. Sri Lanka being forced to cede a port for 99 years, and give China a chunk of its Colombo sea front, is well known.

Malaysia after a change of government has cancelled a railway line and a gas pipeline, and called a halt to a township to be built on three artificial islands; the project was being marketed to wealthy Chinese. Even Pakistan, the all-weather friend, has seen domestic criticism of the terms of some of the contracts (most of the terms remain secret). Under its new government, the country is pruning the number of projects and possibly seeking to renegotiate some of them.

A fourth country that has seen a change of government, the Maldives, could well see something similar happen there. Far from being a mark of triumphant expansionism, across Asia the Belt and Road Initiative has become a source of discord. It is telling that reassessments of Belt and Road projects follow changes of government—which Beijing can't control. But it can engineer political changes that nullify election results, as the latest developments in Sri Lanka suggest. The larger issue in countries like Malaysia, Sri Lanka, the Maldives and some in Africa is how much local political elites were compromised when signing on to dodgy or unviable projects.

5 The push back against Beijing

Renegotiating contracts now may stoke further disputes and prove to be costly, because Beijing has so far insisted on the letter of the contract when it comes to cancellation.

Meanwhile, China faces a blowback on the technology front.

Its long record of stealing technology from western companies and hacking into secure networks, combined with the suspicion that there are bugs hidden in Chinese telecom software, is now resulting in defensive action by some countries.

Germany has begun blocking Chinese buying high end engineering companies, joining the US and Canada in similar drives.

Western governments are wary of Chinese ambitions for leadership in the fourth industrial revolution.

Germany's chancellor, Angela Merkel, has suggested a Europe-wide move on the issue.

Australia recently barred two Chinese companies, Huawei and ZTE, from providing the technology for 5G communications networks, citing security.

Earlier, the US blocked the sale of Huawei phones and stopped ZTE from using US-made components in its phones.

Some countries in the region are revisiting their basic stance towards Beijing.

After China fishing vessels showed up in Indonesian waters, causing several faceoffs, Jakarta warmed to New Delhi and signed up to give Indian naval ships access to Sabang port near the Malacca Straits.

In Australia there is a noticeable cooling off in the government and media when it comes to attitudes to China.

Canberra changed its laws last year after it discovered that generous local Chinese donors to political parties were linked to the Chinese government.

5 The push back against Beijing

There is worry that at least some Australian universities have become so dependent on Chinese students that they would not be viable without them.

Hence Canberra's active policy of wooing students from India, as a balancing factor.

Meanwhile, Mr Trump's tariffs will hurt the US as much as China.

Businessmen in most countries fear losses in the Chinese market if their governments become hostile to Beijing.

Indeed, the prospect of a US slowdown, perhaps even a recession down the road as interest rates climb, may well end up blunting Mr Trump's offensive.

Beijing may yet have the last laugh.

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The push back against Beijing

As Chinese expansionism and aggressiveness, noticeably ramped up in recent years, beginning to cost the country? So it would seem. For many years Beijing had got away with combining technology theft with a mercantilist trade and currency policy, following it up with a new assertiveness in foreign policy. That period as a free-rider has ended with Donald Trump's frontal tariff assault on Chinese exports to the US. The US too will hurt as American consumers pay higher prices, but some producing units may move out of China. The yuan this year has fallen more than many Asian currencies.

Meanwhile, the debt and road business is either taking a toll on, or causing wreckage in, country after country. Sri Lanka being known to owe a poon for 99 years, and give China a chunk of its Colombo sea front, is well known. Malaysia after a change of government has cancelled a railway line and a gas pipeline, and called a halt to a township to be built on three artificial islands the project was being marketed to wealthy Chinese. Even Pakistan, the all-weather friend, has seen domestic criticism of the terms of some of the contracts (more of the same private sector). Under its new government, the country is peering the number of projects and possibly seeking to renegotiate some of them. A fourth country that has seen a change of government, the Maldives, could well see something similar happen there. Far from being a mark of triumphant expansionism, across Asia the debt and Road Initiative has become a source of discord.

It is telling that re-assessments of debt and Road projects follow changes of government — which Beijing can't control. But it can engineer political changes that nullify election results, as the latest developments in Sri Lanka suggest. The long-term in countries like Malaysia, Sri Lanka, the Maldives and more in Africa is how much local political elites were compromised when signing on to dodgy or unviable projects. Re-negotiating contracts now may make further disputes and prove to be costly, because Beijing has so far insisted on the letter of the contract when it comes to cancellation.

Meanwhile, China faces a hiccup on the technology front. Its long record of stealing technology from western companies and hacking into secure networks, combined with the suspicion that there are bugs hidden in Chinese telecom software, is now resulting in defensive action by some countries. Germany has begun blocking Chinese buying high-end engineering companies, joining the US and Canada in similar drives. Western governments are wary of Chinese ambitions for leadership in the fourth industrial revolution. Germany's chancellor, Angela Merkel, has suggested a Europe-wide move on the issue. Australia recently barred two Chinese companies, Huawei and ZTE, from providing the technology for 5G communications networks, citing security. Earlier, the US blocked the sale of Huawei phones and stopped ZTE from using US-made components in its phones.

Some countries in the region are re-visiting their hesitance towards Beijing. After China fishing vessels showed up in Indonesian waters, causing several face-offs, Jakarta warned in New Delhi and signed up to give Indian naval ships access to Subang port near the Malacca Strait. In Australia there is a noticeable cooling off in the government and media when it comes to attitudes to China. Canberra changed its laws last year after it discovered that genomic data of Chinese donors to political parties were linked to the Chinese government. There is worry that at least some Australian universities have become so dependent on Chinese students that they would not be viable without them. Hence Canberra's active policy of wooing students from India, as a balancing factor.

Meanwhile, Mr Trump's tariffs will hurt the US as much as China, making even in most countries fear looser in the Chinese market if their governments become hostile to Beijing. Indeed, the prospect of a US slowdown, perhaps even a recession, down the road as interest rates climb, may well end up blaming Mr Trump's offensive. Beijing may yet have the last laugh.

Business Standard
3rd November, 2018

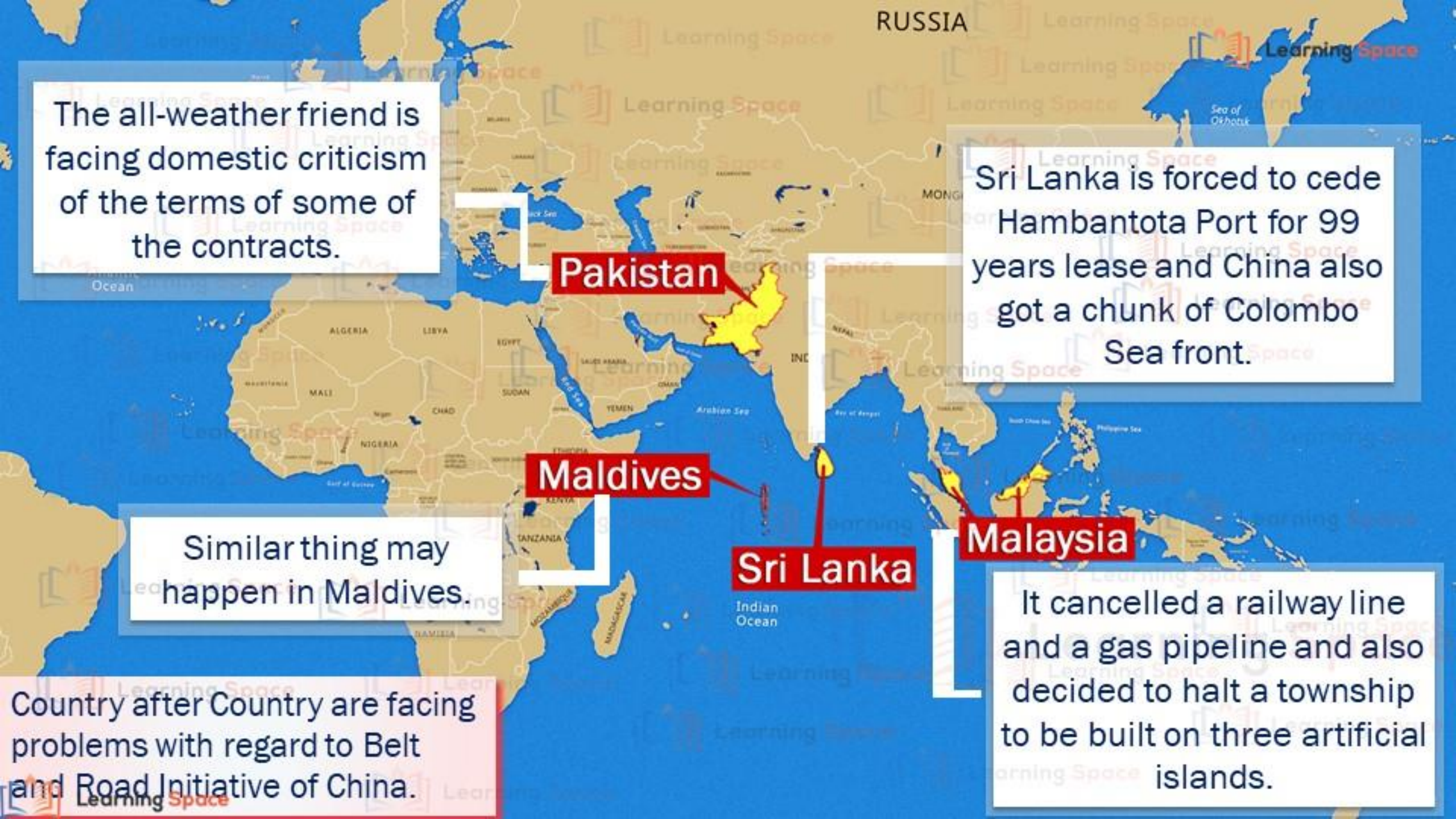
UPSC CSE – GS II

GS II ... International Relations

India and its neighborhood-relations.



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The all-weather friend is facing domestic criticism of the terms of some of the contracts.

Pakistan

Sri Lanka is forced to cede Hambantota Port for 99 years lease and China also got a chunk of Colombo Sea front.

Maldives

Similar thing may happen in Maldives.

Sri Lanka

Malaysia

It cancelled a railway line and a gas pipeline and also decided to halt a township to be built on three artificial islands.

Country after Country are facing problems with regard to Belt and Road Initiative of China.

NOW THE REACTION FROM ADVANCED COUNTRIES!

4 Australia changed its laws last year after it discovered that generous local Chinese donors to political parties were linked to the Chinese Government.

3 US blocked the sale of Huawei phones and stopped ZTE from using US-made components in its phones.

ADVANCED COUNTRIES ARE FEARFUL ABOUT CHINA!

1 Germany has begun blocking Chinese buying high-end engineering companies, joining the US and Canada in similar drives.

2 Australia recently barred two Chinese companies, Huawei and ZTE, from providing technology for 5G communication networks, citing security.

It has got long record of stealing technology from western companies and hacking into secure networks, combined with suspicion that there are bugs in Chinese telecom software.

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

K. Srikanth

D. Sunil Kumar

L. V. Krishna

Y. Deepthi

Amrita Naidu

M. Binukrishna

G. Ravi Babu

D. Joji

K. Victor Babu

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